IN THE HIGH COURT OF JUSTICE
BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
TECHNOLOGY AND CONSTRUCTION COURT (KBD)

Claim No. HT-2026-000087

B E T W E E N :

VERDANT ENERGY SYSTEMS LIMITED

(a company incorporated in England and Wales, registered number 11428907)

Claimant

- and -

CALDERHALL CELLS LIMITED

(a company incorporated in England and Wales, registered number 09984471)

Defendant

PARTICULARS OF CLAIM

A. THE PARTIES

1. The Claimant ("Verdant") is a company incorporated in England and Wales which designs, integrates and commissions grid-scale battery energy storage systems ("BESS") and supplies energy-management software to owners and operators of such systems. At all material times Verdant carried on business from its registered office at Verdant House, 8 Cumberland Place, Manchester M1 4BD.

2. The Defendant ("Calderhall") is a company incorporated in England and Wales which manufactures and supplies lithium iron phosphate (LFP) battery cells and modules for stationary energy-storage applications. At all material times Calderhall carried on business from its registered office and manufacturing facility at Calderhall Works, Sheffield Road, Rotherham S60 1DX.

B. THE SUPPLY AGREEMENT

3. By a written agreement entitled "Cell Supply Agreement" dated 22 May 2024 (the "Supply Agreement") Calderhall agreed to manufacture, sell and deliver to Verdant, and Verdant agreed to purchase, lithium iron phosphate battery cells and pre-assembled module strings of Calderhall's "CH-280" product line for incorporation into a 50 MW / 100 MWh battery energy storage facility being developed by Verdant at land off Brackmoor Lane, Goole, East Riding of Yorkshire (the "Brackmoor Project").

4. The Supply Agreement provided, amongst other things, for the supply of three (3) module strings (Strings A, B and C), each comprising 6,720 CH-280 cells assembled into 28 modules, at a price of £980,000 per string, giving an aggregate contract price of £2,940,000 (exclusive of VAT).

5. The material express terms of the Supply Agreement included the following:

   (a) By clause 4.1, Calderhall would deliver the Goods to the Brackmoor site in three deliveries in accordance with the delivery schedule at Schedule 2, time being of the essence as to delivery.

   (b) By clause 6.1, Calderhall warranted that the Goods would (i) conform in all material respects with the technical specification at Schedule 1 (the "Specification"), including a guaranteed beginning-of-life usable energy capacity of not less than 280 Ah per cell and a capacity-retention of not less than 95% after 500 full equivalent cycles measured in accordance with IEC 62660-1; (ii) be free from defects in design, material and workmanship; and (iii) be manufactured in accordance with Calderhall's quality management system certified to ISO 9001 and the cell-safety requirements of IEC 62619 and UN 38.3.

   (c) By clause 6.4, the warranties at clause 6.1 would survive delivery, installation and commissioning and would remain in force for 24 months from the date of energisation of the relevant String.

   (d) By clause 9, Calderhall would, at its option, repair or replace, or refund the price of, any Goods which failed to conform to the warranties at clause 6.1, such remedy to be provided within 30 days of written notice of non-conformity.

   (e) By clause 11, Calderhall's liability under the Supply Agreement was limited in aggregate to the total charges paid by Verdant, and the parties purported to exclude liability for indirect or consequential loss; the proper construction and the reasonableness of clause 11 are in issue in these proceedings.

   (f) By clause 14.2, the Supply Agreement was governed by the law of England and Wales and the parties submitted to the exclusive jurisdiction of the courts of England and Wales.

6. Further, it was an implied term of the Supply Agreement, by reason of sections 13 and 14 of the Sale of Goods Act 1979, that the Goods would correspond with their description, be of satisfactory quality and be reasonably fit for the particular purpose for which they were supplied, namely incorporation into a utility-scale BESS required to deliver guaranteed availability and round-trip efficiency over a 15-year operating life, which purpose was made known to Calderhall in pre-contract correspondence and recitals (C) and (D) of the Supply Agreement.

C. PERFORMANCE AND DELIVERY

7. Calderhall delivered String A to the Brackmoor site on 19 August 2024, String B on 9 September 2024 and String C on 26 September 2024. Verdant paid the price of £2,940,000 in full, the final instalment being paid on 14 October 2024.

8. Verdant installed the module strings and integrated them into the Brackmoor Project's power-conversion and control systems. Pre-energisation acceptance testing of Strings A and B was completed satisfactorily. Energisation and commissioning of the facility commenced on 4 November 2024.

D. THE DEFECTS

9. During commissioning capacity-characterisation testing carried out between 11 and 22 November 2024, String B exhibited materially abnormal behaviour, namely (i) accelerated capacity fade, with usable capacity in 9 of its 28 modules falling below 88% of nameplate within the first 40 equivalent cycles; (ii) cell-to-cell voltage divergence exceeding the Specification's 30 mV balancing tolerance; and (iii) localised internal heating in three modules detected by the battery-management system, two of which tripped the facility's thermal-protection interlocks.

10. Verdant suspended commissioning of String B on 22 November 2024 and notified Calderhall in writing of the non-conformities on 25 November 2024 in accordance with clause 9. A joint inspection took place at the Brackmoor site on 3 December 2024.

11. Verdant retained Wraysbury Materials Laboratory to investigate the affected cells. Destructive and non-destructive analysis of representative cells from String B, reported on 24 January 2025, found (i) cathode-coating delamination and inconsistent electrode loading consistent with a process excursion during electrode calendering; (ii) particulate contamination of the separator in a proportion of cells; and (iii) evidence of localised lithium plating. The defects were latent and not detectable on the pre-energisation acceptance testing contemplated by the Supply Agreement.

12. By reason of the matters set out above, the Goods comprised in String B did not conform to the warranties at clause 6.1 of the Supply Agreement and were not of satisfactory quality nor reasonably fit for their purpose, in breach of the express and implied terms pleaded at paragraphs 5 and 6 above.

13. Further, the defects identified by Wraysbury Materials Laboratory arose from the same manufacturing campaign as Strings A and C, such that Verdant was reasonably required to undertake additional cell-screening and accelerated-ageing tests on Strings A and C before they could safely be energised, and to hold back energisation of the facility pending those tests.

E. BREACH

14. In the premises Calderhall acted in breach of the express terms of clauses 4.1, 6.1 and 6.4 of the Supply Agreement and of the terms implied by sections 13 and 14 of the Sale of Goods Act 1979.

15. By letter dated 25 November 2024 and again by Verdant's solicitors' letter before action dated 7 February 2025, Verdant required Calderhall to repair or replace the non-conforming Goods within the time required by clause 9. Calderhall failed to repair or replace the Goods or refund their price within 30 days or at all, and by its solicitors' letter dated 28 February 2025 denied liability.

F. CAUSATION AND LOSS

16. By reason of Calderhall's breaches Verdant has suffered loss and damage. The Goods comprised in String B were worthless to Verdant and had to be removed and replaced. Energisation of the Brackmoor Project was delayed by approximately 8 weeks beyond the

contractual energisation date of 13 December 2024, and Verdant incurred the costs of investigation, removal, replacement and remediation.

17. Verdant's loss and damage is particularised in the Schedule of Loss served with these Particulars of Claim and is summarised as follows:

Head of loss	Amount (£)
Replacement cells and modules (String B)	1,015,000
Removal, reinstallation and labour	268,400
Failure investigation and testing (Wraysbury Materials Laboratory)	74,600
Extended preliminaries / commissioning delay (8 weeks)	193,200
Liquidated damages paid to EPC counterparty for delayed energisation	640,000
Lost availability revenue during delay period	284,000
Total	**2,475,200**

18. Each of the heads of loss set out above was within the reasonable contemplation of the parties at the time the Supply Agreement was made as a not unlikely consequence of the supply of defective cells for incorporation into a utility-scale BESS subject to a date-certain energisation obligation and to availability-based revenue, the nature of the Brackmoor Project and Verdant's downstream obligations to its EPC counterparty having been made known to Calderhall as pleaded at paragraph 6 above.

19. Verdant has acted reasonably to mitigate its loss, including by sourcing replacement cells from an alternative qualified supplier on the earliest available lead time and by re-sequencing the commissioning programme so as to energise Strings A and C as soon as their integrity had been confirmed.

G. INTEREST

20. Verdant claims interest on such sums as may be found due pursuant to section 35A of the Senior Courts Act 1981 at such rate and for such period as the Court thinks fit, alternatively at the rate of 4% above the Bank of England base rate from the dates on which the respective heads of loss were incurred until judgment or sooner payment.

AND THE CLAIMANT CLAIMS

(1). Damages in the sum of £2,475,200, alternatively damages to be assessed;

(2). Interest pursuant to paragraph 20 above; and

(3). Costs.

STATEMENT OF TRUTH

The Claimant believes that the facts stated in these Particulars of Claim are true. The Claimant understands that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed: .....

Name: Sarah Whitfield

Position: Partner, Whitfield Carter LLP, solicitors for the Claimant

Dated: 12 May 2025

HARRIET STANFORD

Eldon Chambers, Temple, London EC4Y 9BL

Whitfield Carter LLP, 22 Bishopsgate, London EC2N 4BQ. Ref: SW/EM/VES-0125. Solicitors for the Claimant.